

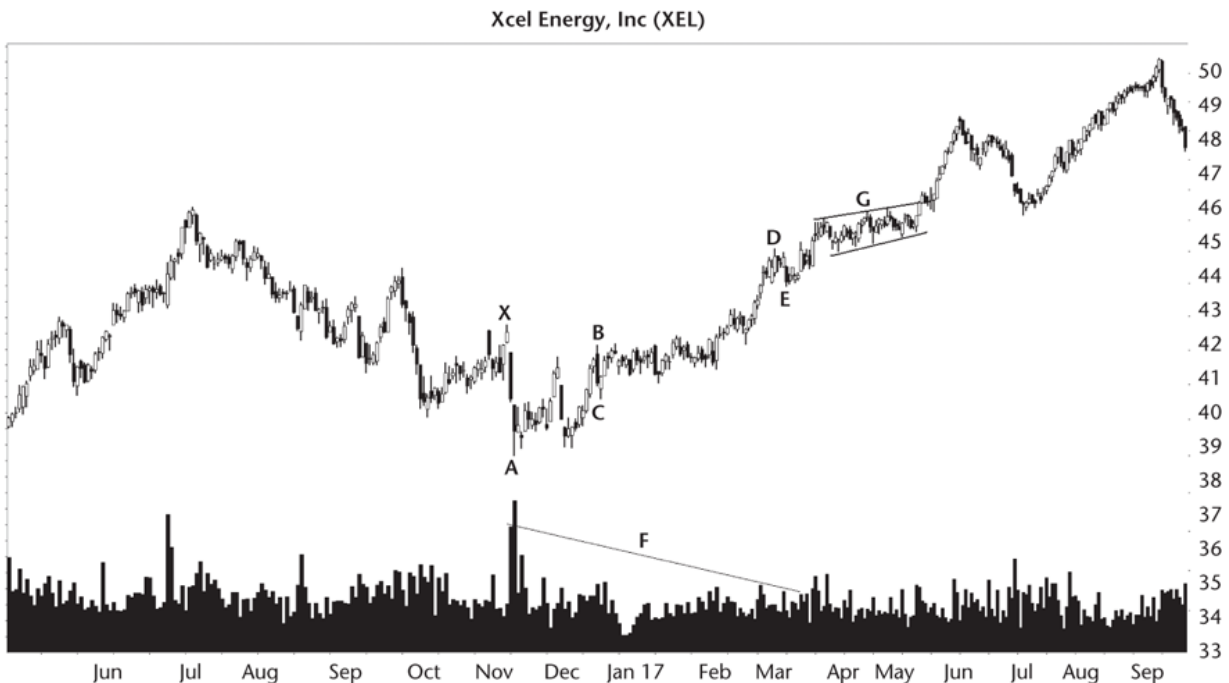


Figure 19.3 This bearish crab fails to see price drop far after turn D.

The move from the July peak in 2016 to D is a nice and gentle rounded turn. The rising channel at G forms a handle for a cup with handle pattern. That's a bullish pattern, and it works in this example. Price rises after the handle, peaking at 52 and change in mid-November (not shown).

Let's focus on the crab. In this example, price turns lower at D, but price doesn't drop far, to E. That drop measures 3%, well short of the 14% average drop for bearish crabs. This crab shows an example of what I call a 5% failure.

I count how many times a chart pattern fails to see price drop more than 5%. The 5% failure rate for crabs is almost 20%. That's high, but anything above zero is high if you're on the losing end of a trade.

Price drops to E in this example, in a 1-day plunge before beginning the retrace. The stock moves higher as I discussed. If you were to short the stock at D, you would have difficulty pulling out a profit from the trade.

If you held a stock long and expected a steep drop at D and sold proactively to maintain your profit, the pat on the back you gave yourself as price dropped to E would be a hammer blow to the shoulder when the stock peaked at 52 in the winter.